Town of Ajax Report

Report To:	General Government Committee
Prepared By:	Mary Lou Cosentino, Manager HR Services
Report #:	CAO – 2023 – 09
Subject:	**2023 Council Member Remuneration**
Ward(s):	n/a
Date of Meeting:	May 8, 2023
Reference:	Council Remuneration By-Law
	By-Law Number 08-2023

Recommendation:

That the attached 2023 Council Remuneration By-Law be brought forward to the May 15, 2023 Council Meeting for approval.

That the Clerk be directed to take the necessary steps to ensure that the Deputy Mayor role in Ajax is properly defined within the relevant Town by-laws and/or policies, and report back to Council for related approvals as necessary.

Background:

The *Municipal Act*, 2001, gives municipal councils the authority to set, by by-law, the remuneration of members of Council. Remuneration packages may include salary, benefits, pension, severance, and other entitlements.

The process by which municipalities determine remuneration entitlements for members of Council varies across the province and they use a range of factors to help set compensation levels. The most common practice that municipalities follow is to survey the compensation paid by neighbouring municipalities.

However, an article published in the *Canadian Public Administration* in 2014 argued that quantitative analysis and comparative studies of other municipalities is inherently flawed. The quantitative method follows a rigid method of inquiry, and fails to consider intangible factors such as responsibilities, cost of living, etc. In contrast, public administration officials argue that 'recognition' needs to be a core principle in determining councillor compensation, the role of the elected representative in the subject municipality and the importance of local government for democracy.

Up until this term of Council, HR Services would only conduct annual reviews of the Council remuneration of Clarington, Oshawa, Pickering and Whitby to identify the average of each comparator entitlement and present findings to Council. The original intent of the process, which was established in 2007, was to gradually improve upon Council's renumeration which lagged behind that of Durham's other lakeshore municipalities at the time.

With the above information in mind, staff are recommending a modernized approach to setting Council compensation which is less administratively cumbersome, but looks more wholistically at Council compensation at least once per Council term.

Discussion:

Going forward, it is proposed HR Services conducts a comprehensive review of the Council Remuneration By-law and reports to the General Government Committee within three months following a municipal election to present findings, and if required, recommend process updates for reviews and/or changes to entitlements. A new Council Remuneration by-law with the necessary adjustments would be approved early in the term, and set the framework for Council compensation for the remainder of that term. In the intervening years, Council member salaries would be indexed annually as described later in this report. Any other adjustments that arise mid-term could be handled by mid-term reports to Council as required.

Internally, HR Services will continue to conduct periodic reviews of the by-law throughout the term of office to ensure that the level of compensation provided to members of Council remains fair and competitive as the role of local mayor/councillor continues to evolve and expand. Members of Council are now working full-time hours as they are sitting on more committees than ever before and expected to be more accessible and responsive with the growth of technology. In addition to comparative reviews, HR Services will consider other intangible factors such as responsibilities, changing needs of position and cost of living to determine renumeration entitlements for members of Council.

Using the process identified and outlined above, it is recommended that the following entitlements be adjusted/added to the Council Remuneration By-law, and that these changes be retroactive to January 1, 2023:

Annual Salary

It is recommended that increases to Council remuneration be aligned with Exempt non-union staff increases to streamline the process and calculations. Exempt pay increases follow the same timetable and percentage increases set out in the CUPE collective agreement, which is approved by Council. With this change, Council pay adjustments will be applied automatically based on negotiated increases. Currently, Exempt non-union staff increases are set as: 2023 (2%) and 2024 (2%).

The chart below shows the proposed 2023 salary to be paid to each member of Council.

	2023 Salary *(excludes benefits and other allowances)*
Mayor	$118,528
Regional Councillor	$45,357
Local Councillor	$45,357

Travel Allowance

It is recommended that Council's travel allowance be adjusted to represent the market median of the Lakeshore municipalities.

	2023 Travel Allowance
Mayor	$14,897
Regional Councillor	$9,438
Local Councillor	$9,438

Registered Retired Savings Plan

The Registered Retired Savings Plan contribution amounts were adjusted to reflect the decision of Council on December 12, 2022 to provide the option to members of Council to participate in the OMERS plan and opt out of the Registered Retired Savings Plan.

Council members that choose to contribute to their RRSP will declare this to HR services and provide proper documentation that they have sufficient RRSP room in the year by the first week of January to be eligible for RRSP payments. Contributions can be made on a monthly/bi-weekly basis only to approved RRSP accounts at financial institutions. Alternatively, if payments cannot be directly deposited into an RRSP account, a lump sum payment can be made at the end of the year.

Severance

It is recommended that the severance for members of Council be at the rate of one month per year of service up to a maximum amount payable of 24 months. This severance package represents the median of the Lakeshore municipalities and is the reasonable norm for leadership positions.

Compensation for Deputy Mayor

It is recommended that the position of Deputy Mayor receive an additional $6,200 per year in compensation to recognize the advancement of the role. Whereas the role of Acting or Deputy Mayor used to refer specifically to their role in presiding over meetings of Council. The time commitment and responsibilities for the position have increased substantially to include representing the Town at high-profile events, speaking engagements, intergovernmental functions, and high-level meetings.

The $6,200 represents approximately 10% of the regional councillor's current salary and benefits. The $6,200 would remain in place for the remainder of the Council term and will not be indexed annually.

Financial Implications:

The recommendations within this report result in the following changes to the Mayor and Council compensation for 2023:

	Increases for 2023
Salary increase*	$7,658
RRSP/OMERS - Salary increase	$873
Travel allowance	$336
Deputy Mayor (new)*	$6,200

RRSP/OMERS - Deputy Mayor Compensation	$620
Severance Policy change	$27,314
Total impact for 2023	**$43,001**

* Note that the amounts above do not include associated Town funded statutory payroll costs or life insurance premium impacts, where applicable.

The Council severance amount is currently a calculated funded liability and is payable to Council members when they no longer hold their council positions. The proposed change in the policy will increase the liability for Council members that currently have more than 18 years of service.

The 2023 budget included an assumed increase for Mayor and Council salary, travel allowance and RRSPs, leaving an amount of $36,100 to be funded from corporate surplus in accordance with the Operating Budget Management Policy.

Communication Issues:

The presentation of a council remuneration report and bylaw once per term provides for a comprehensive, holistic and transparent review of all entitlements and intangible factors. This modernized approach also provides for predictability throughout the term and is less administratively cumbersome. The process also allows for in-term adjustments as required. The updated report on the new process and council remuneration bylaw will be made available on the Council section of the Town's website.

Relationship to the Strategic Plan:

NA

Conclusion:

Introducing a new compensation review process that considers factors such as responsibilities, cost of living, etc. versus continuing with an outdated method that fails to capture and recognize the realities of current duties is an important step to ensuring adequate compensation for elected officials and local government democracy.

Attachments:

ATT-1: Proposed 2023 Council Remuneration By-Law

Prepared by:

Mary Lou Cosentino – Manager, HR Services

Submitted by:

Shane Baker – Chief Administrative Officer

Approved by:

Shane Baker – Chief Administrative Officer

THE CORPORATION OF THE TOWN OF AJAX

BY-LAW NUMBER XX-2023

A By-law to provide for the 2023 annual remuneration for the Mayor and Members of Council of the Town of Ajax.

WHEREAS the *Municipal Act, 2001*, as amended, allows for the payment of remuneration and expenses to members of council and local boards and expenses be deemed as expenses incident to the discharge of their duties;

NOW THEREFORE the Council of the Corporation of the Town of Ajax enacts as follows:

1. **ANNUAL SALARY**

   a. An annual salary shall be paid bi-weekly to each member of Council.
   b. Effective January 1, 2023 the base salary shall be $118,528.00 for the Mayor and $45,357.00 for a Regional and Ward Councillor.
   c. The annual salary paid to members of Council does not include remuneration as a member of any agency, board, commission, corporation, or other similar organization to which the member is appointed.
   d. The annual salary provided to members of Council shall be adjusted annually as per the approved percentage increase established for Exempt non-union employees.
   e. The Deputy Mayor position shall be compensated at an amount of $6,200 per year for the 2022-2026 term of Council. Such remuneration shall be paid bi-weekly and revaluated as part of the comprehensive review at the outset of each term.
   f. Council's salary will be divided by 26 weeks to determine the biweekly pay.

2. **TRAVEL ALLOWANCE**

   a. In addition to annual salary, each member of Council shall be provided an annual travel allowance in accordance with the market median provided to the Council members in Pickering, Whitby, Oshawa and Clarington.
   b. Effective January 1, 2023 the travel allowance shall be $14,897.00 for the Mayor and $9,438.00 for a Regional and Ward Councillor.
   c. Such remuneration shall be paid bi-weekly.

3. **INSURED BENEFITS**

   a. The Town will pay 100% of the premiums to an Insurance Benefit Carrier to provide benefits to members of Council. Enrollment in the Group Benefit Plan is mandatory.
   b. Newly elected members of Council will be enrolled in the Group Benefit Plan effective the first month following the date in which the Councillor is sworn in.
   c. The Group Benefit Plan will consist of extended health, dental coverage, member life insurance, accidental death & dismemberment (AD&D), and long-term disability benefits. Details of the benefit coverage are outlined in the Benefit Booklet for Elected Officials.
   d. Benefits (including Retiree and Survivor) and eligibility for benefit coverage are subject to the terms and conditions of any governing master policy of the Benefit Carrier and/or any statutory requirements.
   e. HR Services has the authority to add to or amend the Group Benefit Plan as may be required from time to time. In such cases, staff will advise members of Council prior to the change taking effect.

Benefits Over Age 65

   a. Members of Council remaining in office after the age of sixty-five (65) shall continue to receive extended health and dental coverage in accordance with the terms and conditions of the benefits plan.
   b. Life insurance and AD&D coverage shall be reduced to one times (1x) the member's salary when the member turns sixty-five (65).
   c. Life Insurance and AD&D coverage will terminate when the member turns seventy (70) years of age, or when the individual ceases to be a member of Council, whichever occurs first.

Retirement Benefits

a. A member of Council retiring from office between the ages of fifty-five (55) and sixty-four (64) and who have a minimum of fifteen (15) years of continuous service, will be eligible for Basic Health and Basic Dental benefits.
b. This benefit will cease on the last day of the month in which the member attains the age of sixty-five (65).

Survivor Benefits

Where a member of Council dies while holding office, their dependent(s) (meaning eligible dependents) who are listed on the member of Council's benefit plan at the time of death, will continue to receive medical and dental benefits until the earliest of:

a. a period of twenty-four (24) months following the date of death; or
b. until the end of the month in which the eligible spouse turns sixty-five (65) years of age; or
c. until the eligible dependent (if no spouse is listed) no longer qualifies as a "dependent" under the definition of the benefit carrier; or the spouse remarries.

4. REGISTERED RETIRED SAVINGS PLAN (RRSP)

a. The Town will contribute 9% of the Mayor's earnings up to the YMPE (year's maximum pensionable earnings) and 14.6% for earnings above the YMPE and 10% for Councillors to their Registered Retired Savings Plan (RRSP) provided the member is eligible to contribute
b. Council members will declare to HR services and provide proper documentation that they have sufficient RRSP room in the year by the first week of January to be eligible for RRSP payments. Contributions can be made on a monthly/bi-weekly basis only to approved RRSP accounts at financial institutions. Alternatively, if payments cannot be directly deposited into an RRSP account, a lump sum payment can be made at the end of the year.
c. The Town's contribution is considered a taxable benefit.
d. A member who is eligible to contribute may do so up to December 31st of the year they turn 71 years of age.
e. A member of Council who is no longer eligible to contribute due to age or as otherwise determined by legislation, shall have 10% paid out to them on the last pay of December.
f. A member of Council who leaves office or dies while in office prior to December 31st, will receive 10% earned as of their last date in office. In the event of death, the monies owed will be paid to the member's estate.
g. Members of Council who participate in the OMERS plan (as per By-law 08-2023), shall not be eligible for an RRSP contribution from the Town. The Town will deduct the required OMERS contribution rate from the member's bi-weekly salary and the Town will match the contribution.

5. SEVERANCE

a. A member of Council with service of a minimum of four (4) consecutive years is eligible to receive severance upon ceasing to be a member by reason of:
    i Election defeat
    ii Resignation or decision to not seek re-election
    iii Dying while in office
b. Severance is payable at the rate of one month per year up of service up to a maximum amount payable of twenty-four (24) months.
c. If eligibility requirements as stated in 5(a) are met, a member of HR Services will contact the elected official to prepare the severance package. Payment will be submitted as soon as practical.
d. Severance may be payable in one lump sum or spread equally over a period not to exceed twenty-four (24) months or any combination of the two payment methods.
e. No member shall be entitled to receive severance who ceases to be a member by reason of, or by resignation which is a result of:
    i Removal from office by judicial process
    ii Disqualification and/or removal from office under operation of any Act of the Parliament of Canada or the Legislature of the Province of Ontario

6. PREGNANCY AND PARENTAL LEAVE

a. Council members are entitled to be compensated in the event of a pregnancy or parental leave in accordance with Town of Ajax Policy 141, “Pregnancy and Parental Leaves for Members of Council.”

7. **CHANGES TO SALARIES, TRAVEL ALLOWANCES, RRSP CONTRIBUTION AND SEVERENCE PAY**

a. HR Services shall conduct a review of the Council Remuneration By-law and report to the General Government Committee within three (3) months following a municipal election to present findings and recommendations.
b. HR Services shall endeavor to maintain an awareness of entitlements provided to Council members in the municipalities of Pickering, Whitby, Oshawa and Clarington, during the intervening years between elections, and if required, present findings and recommendations to the General Government Committee for adjustments to remuneration.

8. **OTHER EXPENSES**

a. Members of Council shall be paid from time to time for expenses incurred in the normal performance of their duties in accordance with Council approved policies.

9. By-law 22-2022 is hereby repealed.

10. This By-law is deemed to come into force and take effect on January 1, 2023

READ a first and second time this Fifteenth day of May, 2023.

READ a third time and passed this Fifteenth day of May, 2023.

_____
Mayor

_____
D-Clerk